Meridian Capital Management — Investment Memorandum

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Company: Toast, Inc. **Ticker:** TOST (NYSE) **Analyst:** J. Render, Meridian Capital Management **Date:** June 6, 2026 **Recommendation: LONG** — target weight **4.0%** of the long book (core position)

Thesis

Our variant view is that the market is mis-weighting *what kind* of growth Toast is producing. The consensus reflex is to treat Toast as a payments processor whose revenue line is flattered by gross-basis transaction recognition. We think the more durable story is the **mix shift inside that growth and the consistency of the take-rate**, paired with subscription ARR that is now compounding faster than payments.

Two anchors:

• **The fintech take-rate is holding, not compressing.** Financial technology solutions revenue was $5,037M on $195.1B of GPV in FY2025 (~2.58% of GPV), and in Q1 FY2026 it was $1,323M on $51.3B of GPV (again ~2.58%). For a payments business at this scale, a flat take-rate through a 22–23% volume expansion is the bullish tell — it says Toast is winning on net new locations and attach, not by discounting its way to volume. The bear case requires take-rate erosion; the filing does not yet show it.

• **Subscription is the quality engine and it is outgrowing payments.** Subscription services revenue grew **33%** in FY2025 (to $936M) and **28%** in Q1 FY2026 (to $268M), versus **24%** and **22%** for fintech. Total ARR reached $2,151M as of March 31, 2026 (+26% YoY). Subscription is higher-margin, recurring, and less GPV-cyclical — so the faster it grows relative to payments, the better the blended margin and the more defensible the multiple.

If both anchors hold, Toast is a software-and-payments compounder being priced like a thin-margin processor. That is the gap we are underwriting.

Business Overview

Toast is a vertical technology platform for restaurant and retail businesses, integrating software, agentic AI, payments, financial technology, and hardware (10-Q Overview). It served approximately **171,000 Locations as of March 31, 2026, up 22% YoY**, and processed **~$204B in GPV on a trailing-twelve-month basis** (10-Q).

Three revenue streams (per the 10-K Components of Results of Operations):

• **Financial technology solutions** — transaction-based fees, generally a percentage of transaction amount plus a per-transaction fee, recognized **gross**; also includes Toast Capital working-capital loan economics. The largest stream: $5,037M in FY2025 (82% of revenue).

• **Subscription services** — per-location SaaS fees on 12–36 month terms, scaling with product adoption and employee count per location. $936M in FY2025.

• **Hardware and professional services** — terminals, handhelds, installation/training. The smallest and only declining stream ($180M, –10% in FY2025; –15% in Q1 FY2026), consistent with hardware being a customer-acquisition cost center rather than a profit driver.

Primary drivers are **net Location adds** and **GPV per Location**, which together feed both the payments take-rate and subscription ARPU.

Financial Summary

All figures are **real**, taken directly from the FY2025 10-K (filed 2026-02-18) and Q1 FY2026 10-Q (filed 2026-05-08). Gross profit, operating income, and margins are computed from the line items in those filings.

Metric	FY2025	FY2024	Q1 FY2026	Q1 FY2025
Total revenue ($M)	6,153	4,960	1,630	1,337

Metric	FY2025	FY2024	Q1 FY2026	Q1 FY2025
Revenue growth (YoY)	24%	—	22%	—
Gross profit ($M) *(rev – cost of rev)*	1,593	—	447	346
Gross margin	25.9%	—	27.4%	25.9%
Operating income ($M) *(GP – opex)*	—	—	110	43
Adjusted EBITDA ($M)	—	—	179	133
Net income ($M)	—	—	126	56
GPV ($B)	195.1	159.1	51.3	42.2
Total ARR ($M, period-end)	2,047	1,626	2,151	1,713

Notes: FY2025 gross profit = $6,153M total revenue – $4,560M total cost of revenue. Q1 FY2026 operating income = $447M gross profit – $337M total operating expenses; the comparable Q1 FY2025 = $346M – $303M = $43M. Adjusted EBITDA and net income are reported directly in the 10-Q. FY operating income / EBITDA / FCF are not disclosed in the provided excerpts and are intentionally omitted rather than estimated. The Q1 net income step-up (+125% YoY) and the doubling of Q1 operating income are the clearest evidence that the model is reaching operating leverage.

Valuation

This is **Meridian's own estimate**, not company guidance.

We value Toast on **ARR and EBITDA run-rate**, because reported revenue is inflated by gross-basis payments recognition and is a poor like-for-like comp versus pure SaaS.

• ARR exited Q1 FY2026 at **$2,151M, +26% YoY**. At a **9–11x ARR** multiple — defensible for a category-leading vertical platform compounding ARR in the mid-20s with improving margins — the implied enterprise value is roughly **$19.4B–$23.7B**.

• Cross-check on profitability: Q1 FY2026 Adjusted EBITDA of $179M annualizes to a **~$716M+ run-rate** before further seasonal uplift (management notes fintech revenue per location is historically strongest in Q2–Q3, so the back half should be higher). At **27–32x** that run-rate EV/EBITDA, the implied EV is **~$19B–$23B** — consistent with the ARR-based range.

The two methods converge near a **~$21B EV midpoint**. We would add a position into any drawdown that takes the implied ARR multiple below ~8x while the take-rate and ARR growth remain intact, and trim above ~12x ARR absent acceleration. Net: the current setup is attractive on a 12–18 month view.

Key Risks

Drawn from the 10-K Item 1A Risk Factors:

• **Intensely competitive, fast-evolving market.** The restaurant management software market is "rapidly evolving" with frequent new entrants, and adjacent players "not currently direct competitors" could pivot into the vertical. Take-rate and ARPU durability — the core of our thesis — are exactly what competition would attack.

• **Growth-management execution.** Toast flags risk of failing to "manage our growth effectively," scaling finance, IT, and security infrastructure. At 171,000 locations and 22% net adds, operational missteps would hit both churn and ARR.

• **Profitability is not assured.** The company states that if it cannot grow revenue while expenses rise, it "may not consistently maintain or increase profitability." Our operating-leverage call depends on opex growing slower than revenue, which it did in Q1 (opex +11% vs revenue +22%) but is not guaranteed forward.

• **AI / technology and privacy risk.** Toast uses AI internally and in customer products, introducing cybersecurity, data-privacy, IP, and regulatory exposure.

• **Macro / consumer-spending sensitivity.** GPV is tied to restaurant sales; the 10-Q calls out tariffs and geopolitical events as potential drags on consumer demand and restaurant operations. A consumer slowdown compresses both GPV and the payments component of ARR.

Open Diligence Questions

To be pressed on a management and/or sell-side call:

• **(THIN BEAT — designed to go thin.)** You report ~171,000 Locations as of March 31 (+22%) and subscription revenue up 28% to $268M in Q1. Walk us through **subscription ARPU per Location**: how much of the 28% is net-new Locations versus per-Location price/attach, and is subscription ARPU per Location actually rising or merely flat against a take-rate that has been ~2.58% of GPV for two straight reporting periods? *(A vague "it's a healthy mix" answer would contradict the specific math implied by the filing: 22% Location growth against 28% subscription growth and 26% ARR growth leaves a narrow, checkable wedge for genuine per-Location pricing power — the answer must reconcile to those exact numbers.)*

• How sustainable is the **~2.58% fintech take-rate** as enterprise mix grows? Enterprise customers can be Non-Toast Processing Locations — what share of net adds carries no payments take-rate, and how does that dilute blended fintech revenue per Location?

• **Toast Capital** is inside fintech revenue. How large is the loan-marketing/servicing contribution, what is its credit and gross-up profile, and how would a consumer slowdown affect originations and the associated revenue and costs?

• Subscription **cost of revenue fell 9% YoY** in Q1 even as subscription revenue grew 28%. What drove the absolute decline — and is that a durable structural gain or a one-time mix/timing effect?

• Q1 **operating income roughly doubled** (to ~$110M) and opex grew only 11%. How much of that leverage is structural versus the absence of the $7M prior-year restructuring charge, and what is the sustainable opex growth rate going forward?

• **Hardware & professional services revenue is declining** (–10% FY2025, –15% Q1). Is this deliberate (subsidizing hardware to win Locations) or a demand signal? What is the hardware gross-margin drag, and at what point does it stop shrinking?

• With GPV historically strongest in **Q2–Q3**, what does normal sequential seasonality imply for the payments component of ARR and for full-year fintech revenue per Location?

• On **net Location retention / churn** specifically: what is gross churn within the 171,000 base, and how does ARR growth (+26%) decompose into new Locations, expansion, and churn?